

DOING BUSINESS IN LIBYA | LEGAL GUIDE

1. Legal System

1.1 Legal System and Judicial Order

Libya primarily operates under a civil law system, with the Libyan Civil Code and Commercial Code serving as the cornerstone of civil and commercial affairs. However, there is also an emphasis on case law precedent at the Supreme Court level, where the bearing of its judgments and rulings over all courts and entities is enshrined in legislation.

The Libyan codified system is predominately derived from the Egyptian legal system, sharing much in common with the Egyptian civil code. There are also influences from the French, Italian and Ottoman systems of old that have historically shaped legal procedures.

Currently, together with its mainly codified system, Islamic Sharia law also plays a vital role in the Libyan legal system, particularly in areas of family law and matters concerning estates and wills.

The Libyan judiciary takes the form of a four-tier court system: summary courts, courts of first instance, courts of appeal and the Supreme Court. Each court tier is competent to hear both civil and criminal matters within its circuit, although serious criminal cases are reserved for the appellate courts. The courts are organised by locality, with each court of first instance also having a summary court within its jurisdiction.

2. Restrictions on Foreign Investments

2.1 Approval of Foreign Investments

Foreign investors can enter the Libyan market in several ways. They may partner with a Libyan national to establish a joint venture, or, if they have an existing foreign entity abroad,

they can open a branch office in Libya, both of which require prior approval from the Ministry of Economy and Trade under Resolution No 207 of 2012, which governs foreign participation in joint ventures, branches, and representative offices.

In addition to these options, Libyan legislation provides a distinct route for foreign investors through Law No 9 of 2010 on Investment Promotion. This law allows 100% foreign ownership of investment projects, along with a range of commercial incentives, including:

- a five-year exemption from taxes and stamp duties;
- exemption from customs duties on the importation of machinery, equipment, and goods related to the project, as well as for exports;
- full repatriation of net profits;
- the ability to access financing from local banks;
- the right to re-export invested capital if the project is terminated or unrealised within six months of approval; and
- eligibility for a renewable residence permit valid for no less than five years.

To operate under Law No 9, foreign investors must obtain an investment licence from the Privatisation and Investment Board (PIB), the sole authority responsible for granting approvals. This approval must be secured prior to conducting any investment activities in Libya.

The criteria for approving investment projects are outlined in Law No 9. To be eligible, the project must achieve some or all of the following objectives:

- transfer and localisation of modern knowledge, technology, or intellectual property;
- integration with existing economic projects, reduction of production costs, or contribution to the supply chain;
- utilisation or support in the exploitation of local raw materials;
- development of remote or underdeveloped regions;
- production of export goods or reduction of reliance on imports;
- improvement, development, or rehabilitation of essential services for the national economy; and
- creation of job opportunities for Libyan nationals, with a minimum local workforce participation of 30%, alongside providing training and technical skill development for Libyan employees.

While Law No 9 opens most sectors to foreign investment, certain industries, specifically the exploration, extraction and marketing of oil and gas, remain restricted. Other sectors may be subject to additional regulatory requirements depending on the nature of the activity.

2.2 Procedure and Sanctions in the Event of Non-Compliance

Under Law No 9 (2010), obtaining an investment licence in Libya involves a two-stage approval process. The first stage grants permission for the investment to be undertaken, while the second stage provides authorisation to carry out the investment in practice. Each approval stage necessitates the submission of specific documentation, which generally includes the investment plan, budget confirmation, technical approvals, and project timetables, statement of workforce and payment of required fees. Investors should bear in mind that it can take up to three months for an investment company to be set up from the date of the application.

All commercial activities, including investing in Libya, cannot be carried out without first obtaining an approval. Conducting activities without a licence or approval will result in financial penalties for operating without authorisation, as stipulated under the Commercial Code. In cases where an entity is established without proper approval, or based on incorrect or incomplete information, criminal sanctions, including imprisonment, apply under the Penal Code.

While there are instances where businesses operate without formal approvals, this approach carries significant legal, operational, and reputational risks.

In addition, foreign investors and their staff must comply with Libya's immigration regulations. Any foreign national entering Libya to conduct work must obtain a valid work permit and be sponsored by a registered company under investment law or other legal framework. Entering the country under a tourist or other non-work visa does not authorise the individual to engage in business activities. Violations of these requirements result in fines, detention, or deportation.

2.3 Commitments Required From Foreign Investors

For the myriad of incentives and exemptions afforded to investors under the Investment Promotion Law, authorities have a list of commitments they expect in return. Aside from the mandatory minimum capital of LYD5 million, these commitments include:

- transferring knowledge and technology;
- contributing to the production or reduction of costs of ongoing projects;
- exploiting and using local raw materials;
- developing remote areas;
- producing a commodity for export that would reduce reliance on importing that commodity;
- offering services required by the national economy; and
- committing to employ a local Libyan labour force of at least 30% and providing them with training and expertise

This list can be fulfilled in whole or in part, meaning that in practice an investor can fulfil those commitments that are reasonably more feasible for their project.

2.4 Right to Appeal

Investors have the right to challenge any decision issued under the Investment Law, including the rejection of an investment application or the revocation of an existing approval. The investor may submit a formal written appeal to the Privatisation and Investment Board (PIB) within 30 days of being notified of the decision.

The PIB is required to review the appeal and take the necessary steps to resolve the matter within 30 days of receiving the complaint. During this period, the investor may be asked to provide additional clarifications, with the aim of reaching an amicable solution.

Filing an appeal with the PIB does not affect the investor's right to pursue the matter before the Libyan courts. If the dispute is not resolved administratively, the investor may initiate legal proceedings to challenge the decision under the general rules of administrative litigation. The courts have jurisdiction to review the legality of the decision and whether the authorities acted within their powers.

3. Corporate Vehicles

3.1 Most Common Forms of Legal Entity

Commercial companies in Libya are broadly divided into two categories: partnerships (person-based companies) and capital companies. The most commonly used forms are capital companies, especially limited liability companies (LLCs) and joint stock companies (JSCs). In addition, joint ventures, branches, and representative offices are also frequently used for foreigners. Below is an overview of the key types and their characteristics.

Joint-Stock Companies (JSCs)

Main characteristics and governance

Joint stock companies are capital-intensive entities best suited for large-scale business ventures, including public offerings or greenfield projects. Shareholders are only liable up to the value of their capital contribution.

- Minimum Shareholders: Ten
- Shareholding Limit: No natural person may own more than 10% of the company's capital.
- Minimum Share Capital: LYD100,000
- Capital Payment: At least 30% must be paid at incorporation; the remainder within five years.

Governance structure

Libyan commercial law provides for a three-tier governance system in joint stock companies, comprising:

- The General Assembly: This includes all shareholders and functions as the supreme authority in the company. It is divided into:
 - Ordinary General Assembly: This assembly handles routine matters, such as approving annual reports, appointing board members, and determining dividends.
 - Extraordinary General Assembly: This assembly convenes for major decisions, such as amendments to the memorandum of association, capital increases or reductions, and mergers or dissolutions.
- The Board of Directors: The board is appointed by the shareholders, and is responsible for day-to-day management and strategic decision-making. Board resolutions require an absolute majority, unless the by-laws or memorandum of association set a higher threshold. Board members are prohibited from contracting with the company without prior shareholder approval.
- The Supervisory Body: This independent committee oversees compliance with the law, monitors the company's financial and administrative conduct, and ensures the accuracy of accounting records and documentation.

Disclosure requirements

The Board must submit an annual report to the General Assembly at least seven days before the assembly meets. This report, signed by the Chairman, includes:

- all compensation and benefits received by board members;
- in-kind benefits and donations made by the company; and
- a comprehensive summary of financial statements and operational performance

Limited Liability Companies (LLCs)

Main characteristics and governance

LLCs are the most common corporate vehicle in Libya due to their flexibility and minimal capital requirements. They are well-suited for small and medium-sized enterprises and general commercial activities.

- Minimum Partners: Two
- Maximum Partners: 25
- Minimum Share Capital: LYD3,000
- Liability: Liability is limited to each partner's capital contribution.
- Governance: In general, governance rules are less formal than for JSCs, but if the capital reaches LYD100,000, the governance rules of JSCs apply, including regarding

the general assembly, board structure, and reporting obligations.

Joint Ventures

Main characteristics and governance

Joint ventures are used by foreign investors seeking to operate in Libya through a partnership with a local partner. This structure is particularly appropriate for infrastructure projects or sector-specific investments.

- Foreign Ownership Cap: 49% (the Libyan partner must hold 51%)
- Minimum Share Capital: LYD1,000,000
- Governance: They are subject to the same governance rules as joint stock companies, including regarding board management and shareholder oversight.

Branches of Foreign Companies

Main characteristics and governance

Branches allow foreign companies to operate in Libya without incorporating a separate legal entity. This vehicle is typically used for service delivery, contracting, or technical projects.

- Capital Requirement: LYD250,000
- Management: A branch manager and a deputy branch manager must be appointed, one of whom must be Libyan.
- Governance: While the branch is not a separate legal entity, it must follow administrative and financial regulations similar to local companies.

Representative Offices

Main characteristics

Representative offices are used by foreign companies to conduct non-commercial activities, such as market research or liaison functions. They are not permitted to engage in profit-generating activities.

- Staffing and Structure: They are simple to set up, as they only require an office manager.

Most Common Vehicle in Practice

In Libya, LLCs are by far the most popular corporate vehicle. Their popularity is largely due to:

- the small number of partners required;

- the low capital threshold; and
- their broad eligibility for various types of commercial activities.

3.2 Incorporation Process

The main steps begin with submitting an application to the Ministry of Economy, which is the competent authority responsible for approving the incorporation of companies. The application must be accompanied by a set of required supporting documents.

Timeframes for incorporating a company vary depending on the type of company, how many members it has and its chosen activity. Typical timeframes can be anywhere from two weeks up to two months for a branch of a foreign entity; for national entities, the timeframe is shorter.

3.3 Ongoing Reporting and Disclosure Obligations

Any change to a company's shareholding composition, paid-up capital or ultimate beneficial ownership needs to be reported to the Commercial Registry where such information is recorded. A commercial register extract is then updated which shows the company's shareholding, legal management and capital value.

For tax purposes, financial statements need to be approved and submitted to the tax authority every financial year.

3.4 Management Structures

Companies are required to have a board of directors, which typically includes the company's shareholders, but not always. This means that the most common framework is a two-tier system that separates executive and non-executive management. This is especially the case where the directors on a company's board are non-executive and appoint an executive manager to carry out the company's daily tasks and management. However, it is possible for shareholders to be on the board, with executive management essentially becoming a one-tier system – although this is more common in smaller private companies.

3.5 Directors', Officers' and Shareholders' Liability

Under Libyan law, directors and board members bear both civil and criminal liability for their duties. They are jointly responsible for any harm caused to the company due to negligence or misconduct. Criminal liability arises in cases such as fraudulent or negligent bankruptcy, including improper disposal of assets, reckless accumulation of debts, record falsification, or unfair treatment of creditors. Convictions can lead to penalties and disqualification from commercial roles for two to ten years.

The concept of "piercing the corporate veil" is not expressly recognised under Libyan law. The Commercial Code provides that shareholders are only liable up to the amount of their

paid-up capital. However, in exceptional cases involving fraud or abuse of the corporate structure, courts may be inclined to look beyond the corporate form.

4. Employment Law

4.1 Nature of Applicable Regulations

The legal rules governing the employment relationship in Libya are primarily derived from statutory law, particularly the Libyan Labour Law (Law No 12 of 2010), which constitutes the main source regulating employment matters; when Libyan Labour law is silent on a matter, the civil code applies.

These rules of the labour law are characterised by their public order nature, meaning they are mandatory and may not be waived by agreement. Any violation of such provisions is deemed null and void, and the aggrieved employee may claim compensation for any resulting harm.

The Libyan labour law framework is pro-worker, placing strong emphasis on job security, non-discrimination, and the protection of employee rights. For example, it limits working hours to 48 per week, mandates rest periods, and prohibits forced labour or any form of servitude – affirming the fundamental dignity and rights of workers.

In addition to statutory law, the following legal rules govern the employment relationship:

- Employment agreements (individual contracts) define the terms of the working relationship but must comply with minimum standards established by law. Notably, an employment relationship may still be legally recognised in the absence of a written contract if the elements of subordination and supervision are evident.
- Collective agreements may be concluded between trade unions and employers or employer associations. Although less widespread in practice, collective bargaining plays a role in protecting and enhancing the working conditions of employees, particularly within larger institutions.
- Judicial interpretation (case law) may also influence employment relations, especially in disputes where statutory provisions require clarification or supplementation.

In summary, the employment relationship in Libya is governed by a hierarchy of legal norms, with statutory labour law at its core, complemented by contracts, collective agreements, and interpretative case law – all underpinned by a public policy commitment to worker protection.

4.2 Characteristics of Employment Contracts

An employment contract must be concluded using the model form provided by the Ministry of Labour. The contract may not be executed until it has been approved by the Ministry of Labour, which verifies that the contract complies with the required legal form and that its terms are consistent with the provisions of the law.

The contract must include all necessary details to clearly define the rights and obligations of both parties. It must be in writing, drafted in Arabic, and prepared in three copies. Once certified, one copy is delivered to each party, and the third is retained by the relevant employment office.

However, employment contracts can also be concluded verbally if the requirement mentioned above was not met and the employee is permitted to prove their rights by all legally recognised means of evidence, including witness testimony and circumstantial proof. This reflects the pro-worker orientation of Libyan labour law and its focus on safeguarding substantive rights over formalities.

4.3 Working Time

Labour law prohibits working hours that exceed 48 hours per week, or over ten hours a day. There is no set minimum amount of work hours and hours worked in overtime are compensated at the worker's usual daily rate in addition to a 50% bonus all while ensuring that overtime hours do not exceed three hours per day.

4.4 Termination of Employment Contracts

Libya is not an “employment at will” jurisdiction. Instead, its labour legislation emphasises job security and protection of employee rights, which are considered matters of public policy. Libyan labour law is generally favourable to workers, and the rules on termination vary depending on the type of employment contract.

There are two main types of employment contracts in Libya: fixed-term contracts, which are the most common, and indefinite-term contracts.

A fixed-term contract automatically expires at the end of its term without the need for notice and cannot be terminated ahead of term. However, early termination is only permitted under specific legal grounds, such as unjustified absence, non-performance, submission of false credentials, or commission of a criminal offence, or if the employee is still under probation. Termination for reasons such as underperformance or economic necessity is also possible, though such grounds can be more difficult for employers to justify in the event of a dispute. If a fixed-term contract is terminated without lawful justification and prior to its term, the employee is entitled to their salary for the remaining duration of the contract.

For indefinite-term contracts, either party may terminate the contract by giving the other party at least 30 days' prior written notice. If the notice requirement is not observed, the

terminating party must compensate the other party with an amount equal to the employee's wage for the notice period or the remaining portion thereof. If the employer issues the notice, the employee is entitled to two hours per day during the notice period to seek alternative employment.

In the absence of legal grounds for dismissal – such as breach of work obligations or misconduct – an employee may be entitled to an end-of-service benefit equal to one month's salary and may seek additional damages for unjustified termination, which are determined by the court.

With respect to collective redundancies, Libyan labour law allows employers to terminate multiple contracts for valid administrative or economic reasons, or where work has ceased entirely or partially for a period of at least two consecutive months. In such cases, employers must:

- provide advance notice to affected employees;
- notify the competent Employment Office at least two months in advance; and
- allow the Employment Office to verify the legitimacy of the reasons for termination.

Employees affected by collective redundancies are entitled to the statutory end-of-service award and may also claim further compensation if the termination results in additional harm.

4.5 Employee Representations

There is legislation that protects the formation of workers and trade unions to ensure that their members are represented. Such unions and associations are formed to ensure that members' rights are protected, raise professional competence and encourage innovative, cultural and scientific development. Any interested employee can join an existing union or create a new one as long as it is focused solely on professional fields.

5. Tax Law

5.1 Taxes Applicable to Employees/Employers

All working persons are subject to income tax which the employer is obliged to file with the tax authority. Workers are subject to tax on the first LYD1,200 of their salary at a rate of 5% and a further 10% on their salary above this. Employers are also required to make mandatory social contribution payments on behalf of any employee with a valid work contract. These contributions are calculated at a total rate of 20.5% of the employee's salary and are shared among the employee, employer, and the state, contributing 5.125%, 14.350% and 1.025% respectively. Foreign employers pay the same social contributions

save that they further bear the 1.025% paid by the state for Libyan employers. An additional “Jihad Tax” of 3% on most salaries was recently revoked as unconstitutional by way of a Supreme Court judgment issued by the constitutional circuit in February 2025.

5.2 Taxes Applicable to Businesses

All national companies and non-national companies that have a presence and operate in Libya are subject to corporate tax at a rate of 20% on net profits annually. The profits generated from activity outside of Libya are also subject to corporate tax for national companies and non-national companies.

There is stamp duty imposed on agreements and all documentary transactions such as administrative invoices, payments made to the tax authority and transfer of title. The rates for stamp duty vary on the value and type of documentary transaction, but are typically between 1%-3% where, for example, contracts to supply services command a 1% stamp duty while transfer of real title can be up to 3%. There is no VAT or sales tax in Libya.

Libya is not a member of the OECD and so the two-pillar solution is not applicable. However, as Libyan tax legislation already poses a corporate tax of 20% on all businesses and companies that derive income from Libya, Libya is essentially well in line with the Pillar Two initiative and the 15% corporate tax expectation as a global minimum.

5.3 Available Tax Credits/Incentives

All working persons and businesses are subject to income tax in Libya. This tax return is filed annually through a self-assessed declaration and work-related expenses are tax-deductible. Certain tax exemptions exist, such as on agricultural activity and income from educational material in scientific fields. Other exemptions on tax include end-of-service remuneration for employees, contributions made to the pension system, income from charitable endowments and legal compensation received for damages.

5.4 Tax Consolidation

The tax legislation does not specifically avail any tax consolidation rules and every legal entity is treated separately for the purposes of their tax liability. However, for holding companies and companies with several common entities under a group or partnership, the tax authority may accept consolidated accounts. In such instances, tax consolidation may be considered where it can be demonstrated that the ultimate beneficiaries of the entities are the same.

5.5 Thin Capitalisation Rules and Other Limitations

Thin capitalisation is not an active practice in Libya’s financial and tax system, therefore no thin capitalisation rules apply per se. This is probably due to the fact that interest is not

considered tax-deductible and the fact that usurious transactions, including charging interest, are actually prohibited under the law.

5.6 Transfer Pricing

Libya does not currently have specific transfer pricing laws. However, the existing tax legislation contains anti-evasion provisions that may be applied in cases where transactions between related parties involve pricing that deviates from market norms. If such pricing results in a lower taxable income, the Libyan Tax Authority may treat the conduct as an attempt to evade tax, particularly where there is evidence that the pricing was structured to reduce the tax burden. Although there is no formal transfer pricing regime or documentation requirement, transactions must still reflect their true economic substance. Therefore, related-party dealings, especially cross-border transactions, should be priced in a manner consistent with market rates to mitigate the risk of reassessment or penalties.

5.7 Anti-Evasion Rules

Libyan tax law comprises anti-evasion rules that focus on tax declaration compliance and the accurate submission of information, accounts and records to determine attempts to hide any amounts that would be subject to taxation.

The Libyan Tax Authority has a Tax Evasion Department tasked exclusively with implementing the full effect of the law as it relates to the investigation and recovery of taxable income.

Furthermore, Libyan tax legislation grants the Libyan state a strong and enduring right to claim taxes that are legally due. Specifically, the law provides that the state's right to recover taxes does not lapse with the passage of time, even in cases where a statute of limitations would normally apply. This means that if a taxpayer has failed to disclose income or has underreported tax obligations, the Tax Authority retains the right to pursue the recovery of such amounts, regardless of how much time has passed.

5.8 Tariffs

Since Libya is not a manufacturing nation and relies heavily on imports, applied tariffs are relatively low. The country's customs authority applies low-based duties across the vast majority of imported goods, with a large selection of goods, particularly certain foodstuffs, benefitting from complete exemptions. However, certain categories of goods, such as exotic animals and birds, attract high tariffs. For health reasons, products like cigarettes and other tobacco products also carry premium tariffs.

As an import-reliant nation, Libya does not have a focused reciprocal tariff regime with other countries. However, with the recent global developments that we have witnessed lately with US trade tariffs, Libyan exports to the USA faced a 31% imposed tariff with a

reciprocal 61% tariff imposed on US imports into Libya. While quite high, these tariffs will unlikely have a direct impact on Libya, which is not a major trading partner with the USA. However, there is potential for indirect repercussions, particularly for regional partners in Europe and the Middle East, whose supply chains may experience downstream effects over time.

6. Competition Law

6.1 Merger Control Notification

The Commercial Code Law No 23 (2010) governs competition as it relates to mergers and acquisitions.

As a first step, the merger is registered in the commercial registry; after that is done, the legal representatives of the merging companies must notify all creditors within ten days. This notification must also be published publicly both in the official procedural journal and in at least two national daily newspapers. Creditors then have 90 days from the registration date to raise any objections to the merger. If no objections are raised within this period or if any objections are legally dismissed, the merger becomes fully effective.

6.2 Merger Control Procedure

The merger process begins with a decision by the extraordinary general assembly of each company involved to approve the merger. Next, an expert committee (including at least one certified accountant) appointed by the first instance court evaluates the assets and liabilities of each company to determine their net shareholder equity. Following this valuation, authorised representatives sign the merger agreement. Upon completion of these steps, the merged or acquiring company assumes all rights and obligations of the original companies.

6.3 Cartels

Anti-competitive agreements and cartel-like conduct are explicitly outlawed in Libya's competition laws within the Commercial Code. It is illegal for companies or groups of individuals to fix prices of goods and services by way of agreement, nor can they impact prices and competition in the market by dumping to undermine locally available goods. These arrangements are not just limited to price fixing, but can also include groups agreeing to deal on mutually favourable terms amongst themselves so as to create an anti-competitive environment.

With regard to dumping, the law makes careful distinctions, recognising that price reductions may be necessary in certain legitimate situations. This includes, for instance, the sale of perishable goods or seasonal produce, which are exempt from anti-dumping regulations, provided such practices do not breach broader competition principles.

6.4 Abuse of Dominant Position

Laws within Libya's Commercial Code that govern competition also specifically address unilateral conduct. Although a dominant market position in an open market environment is not encouraged, it is not illegal either. However, Libyan law on competition addresses abuse of a dominant market position in the action taken to improve upon or maintain that position. Here, Libyan law clearly prohibits several actions taken by an entity in a dominant position, which include:

- fixing prices in a way that is not consistent with market expectations;
- market manipulation in supply and demand so as to manipulate a consumer's behaviour;
- refusing to deal with competitors on equal terms and/or imposing discriminatory terms;
- manipulating economic factors that force customers to trade in a situation that undermines competition; and
- interference of any kind to suspend production, manufacturing or distribution of a product or service.

It is further prohibited for commercial entities to co-operate to achieve a dominant position such as through a merger or acquisition where that action will result in a market position that exceeds 30%. The forming of such economic blocs carries with it serious penalties and it is very important that competition laws are analysed so as to not inadvertently breach such laws when an entity is going through a merger or acquisition.

7. Intellectual Property

7.1 Patents

Patent Law in Libya is governed by Law No 8 (1959) on Patents and Industrial Designs, which defines a patent as an exclusive right granted over an invention that satisfies three criteria:

- The invention has not been made public or been in circulation in Libya during the 50 years before the application has been made.
- The invention subject to a pending patent must have practical use and can be used in any type of industry.

- The invention must not be something that could be excluded from being patented such as a scientific discovery or educational theory.

As a signatory to the Paris Convention, Libya has a dedicated Patent Protection Office (PPO) under the Ministry of Economy that is responsible for processing patent registrations and ensuring that patents under application comply with the law.

A request for patent protection consists of a formal request by the inventor or patent applicant, a detailed description of the invention and key parts of the invention for which protection is sought. Once a patent application filed with the PPO is successful, the patent will be valid for a period of 15 years, which can be renewed for a further five years. Once issued, a patent must also be filed in the relevant records of the PPO and published in the local gazette before it can have any effect on third parties.

7.2 Trade Marks

A trade mark is characterised as any distinct shape, sign, words, symbols, trade names, seals, engravings or groups of colours that distinguishes its product or service. The Libyan Trade Mark Law offers a trade mark validity of ten years subject to renewal.

The process to register a trade mark is made to the Intellectual Property Office (IPO) under the Ministry of Economy and Trade. The person authorised to make the application must certify the company's constitutional documents and those that demonstrate its ownership of the trade mark at their nearest Libyan Embassy before submitting to the IPO.

After a trade mark is applied for, there is a three-month waiting period during which any interested party may file an opposition notice. It is important to note that once granted, a trade mark has to be actively used as not using it for five consecutive years may cause it to be cancelled by the registration office.

Trademark law punishes infringement or unauthorised use of a registered trademark with penal measures that include both fines and imprisonment for a period not exceeding two years. A registered trademark holder could therefore bring civil and criminal actions in order to protect their trademark. It is also possible that a court may order the confiscation and destruction of the problematic goods as a further means to deter obfuscation. Customs authorities are also obliged to prohibit the entry of goods that infringe trademark registration.

7.3 Industrial Design

Industrial design is also governed and protected under Law No 8 (1959) on Patents and Industrial Designs. It defines Industrial Design as any shape or lines, in colour or without colour, used for industrial production whether manually or by chemical means as an industrial design or model.

The registration of an industrial design works in the same fashion as a patent except that the documents required include a copy of the company's commercial extract and the validity period granted is for five and not 15 years – it may be renewed up to two times consecutively.

7.4 Copyright

Copyright law is a respected area of Libyan law that regulates and protects literal, artistic and scientific works of any type or mode of expression. Governed by Law No 9 (1968) on Issuing Copyright Protection, any natural or legal person who registers such works in their name is deemed as its author, unless proven otherwise.

The law covers everything from written, musical, photographic and even dramatic works. To comply with copyright protections, it is important that the works to be copyrighted have not become public property and therefore already accessible in the public domain without the author's control.

Registration requires that the material to be copyrighted be deposited at the Ministry of Culture and Information's Copyright Protection Office within one month of its publication.

The period of protection for copyrighted works is for the lifetime of the author, plus 50 years after their death. Infringement of copyrighted works in Libya carries severe penalties, including imprisonment.

7.5 Others

Libya's IP legislation still has significant room for development and does not yet extend into many of the increasingly relevant areas of modern business. Although current legislation does address major IP areas concerning trade marks, copyrights and patents, more obscure areas such as the protections of trade secrets and business processes lack specific law. It is arguable that the current legal framework may struggle to keep pace with the rapid technological advancements and the growing volume of cross-border commercial activity that characterise today's business environment. This concern is further highlighted by the fact that Libya's legislation on patents and copyrights, for instance, dates back to the late 1950s.

8. Data Protection

8.1 Applicable Regulations

Unlike other jurisdictions, there is no main legislation or fully fledged regulation that governs data protection in Libya. This means that with the advent of technology and IT

systems, Libyan legislation is still trailing behind when it comes to how personal data is or can be processed across society and business.

Private correspondence and privacy of homes are protected under the Libyan Penal Code 1953; however, strides still need to be made in relation to the cross-border, digital processing of personal information, and access thereto. Positive signs are on the horizon however, with legislation focused on combatting cybercrime issued in 2022 seen as a pivotal piece of law that addresses how the internet and electronic information can be accessed in certain areas, particularly those concerning hacking and unlawful access to guarded information and prohibited websites that contravene public order. Given this progress in regulating cyberspace, it is likely that further legal developments will emerge, potentially extending into more defined and robust data protection provisions in the near future.

8.2 Geographical Scope

The main essence of data protection, whether in Libya or globally, is centred on consent. This is covered under the mentioned legislation concerning Cybercrime or Law No 6 (2022), which stipulates that any public entity or service provider may collect personal data from a person only after their express consent. Consequently, any foreign companies looking to engage with local customers must first secure consent from these individuals before collecting any of their data or personal information. It is vital to note that this consent requirement carries a caveat in that the data received must only be used for the purposes of issuing or facilitating a certificate. This essentially does not include receiving data for other means or with a purpose not directly linked to the initial transaction.

8.3 Role and Authority of the Data Protection Agency

The National Information Security & Safety Authority, or NIISA is an agency established under Decree No 28 (2013) to “preserve the confidentiality, integrity and availability of an organisation’s information assets” according to its website. The agency’s mission statement is focused on safeguarding the resilience of Informational and Communication Technologies (ICT) and does not appear to cover data protection in other areas such as administrative data protection and unauthorised disclosure.

At the moment, it appears that NIISA’s mandate is focused on promoting the secure use and protection of electronic information assets that relate to Libyan state entities. It remains to be seen if or when this will be a more comprehensive agency that is responsible for ensuring data protection on a more national level for all natural persons outside of governmental and commercial enterprises.

9. Looking Forward

9.1 Upcoming Legal Reforms

Libya has undoubtedly seen significant advancements in cybercrime legislation and electronic transactions, a direct consequence of the surge in digital interactions and the pervasive use of the internet for communication and business. Therefore, we think that as Libya's political landscape improves and the economy opens up, this will certainly bring with it major legislative reforms in areas that are not currently active. For example, when the mining industry develops or tourism opens up, this will inevitably bring legislative changes to regulate and facilitate their appropriate development.

Another example of how developments in international commerce and the environment can impact legal reforms in Libya can be seen in the issuing of Decree No 40 of 2025 or The National Programme for Artificial Intelligence and Digital Transformation. Perhaps an extension of the electronic transaction laws mentioned earlier, this decree allows for the government and its agencies to implement digital transformation of records and archives – a ground-breaking route considering Libya's archaic use of paper-based processes which it has used for decades. Interestingly, the decree also encourages the government to employ artificial intelligence for capacity building and to enhance governmental decision-making.

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